Bifurcation

Energy +2%, software imploding. COIN –9.76% on CLARITY Act. 15-point peace plan in Tehran's hands.

MARKETS

SOFTWARE COLLAPSES WHILE SEMIS RECOVER & THE YIELD CURVE WARNS. The S&P 500 fell 0.37% to 6,556. Dow –0.18% to 46,124. Nasdaq –0.84%. Index-level moves obscured the most dramatic intra-tech divergence of 2026: energy gained 2.03% and materials 1.89%, while communication services fell 1.40% and tech fell 0.58% — but within tech, the software subset experienced a near-collapse. IGV (iShares software ETF) fell more than 3% on Tuesday and is now down 23% in 2026. Salesforce –6.23%, ServiceNow –4%, Oracle –5%, Microsoft –2.68%. The catalyst: reports of new Amazon AI tools encroaching on the enterprise software stack amplified fears that AI disruption is compressing software moats faster than current multiples reflect. IOWN holds zero pure software exposure. We own the infrastructure powering AI, not the application layer being displaced.

While software imploded, IOWN's semiconductor sleeve recovered sharply: ADI +3.09% ($321.83), KEYS +3.33% ($298.58), LRCX +2.37% ($238.84), TSM +1.42% ($343.25), AMD +1.33% ($205.37). The catalyst was Broadcom's disclosure that Taiwan Semiconductor capacity is essentially maxed out — a structurally bullish signal for equipment demand (LRCX), advanced node pricing (TSM), and the physical AI infrastructure buildout. Capacity constraints at TSMC historically precede significant capital equipment orders. LRCX, which builds deposition equipment for each new chip generation, is the direct beneficiary.

The 10-year Treasury yield rose 8 basis points to 4.42% after what BMO described as a 'weak' auction — below-average non-dealer bidding, suggesting foreign appetite for US duration is thinning. The 2-year yield jumped 11 basis points to 3.944%, the largest single-session move in weeks. TLT –0.43% and has not caught a sustained bid since the war began. Flash manufacturing PMI surprised to the upside at 52.4 (vs. 51.3 expected), defying war-era pessimism on the factory floor. But PMI subcomponents show demand damage in travel, tourism, and services sectors citing elevated energy costs and financial uncertainty. Hard data is holding. Soft data is cracking. This divergence rarely persists.

IOWN Tactical: DVY +0.91%, IWS +0.75%, IUSG –0.83%. Value outperforming growth for the second consecutive session. The dividend strategy's composition — energy, defense, industrials, utilities — is exactly what the current regime rewards. Wednesday pre-market: S&P +0.8%, Brent below $100 on the 15-point peace plan. Think Like an Owner—discipline through the chop.

GEOPOLITICS

DAY 25. THE 15-POINT PLAN IS IN TEHRAN'S HANDS. SO ARE THE IRGC'S COUNTER-DEMANDS. The US delivered a formal 15-point ceasefire framework to Iran via Pakistani intermediaries Wednesday morning. An Egyptian official involved in mediation described it as a 'comprehensive deal' covering Hormuz reopening, missile program restrictions, and curbs on Iran's support for proxy forces. Iran received the document. Almost simultaneously, the Islamic Revolutionary Guard Corps circulated its own demands: closure of all US military bases in the Gulf, reparations for war damages, the right to collect fees from Hormuz transit, an end to Israeli strikes on Hezbollah, and full sanctions relief. The gap between the two documents is the width of the conflict itself.

Iranian forces struck Kuwait International Airport Wednesday, sparking a large fire visible across the city. The US announced deployment of 1,000 troops from the 82nd Airborne Division, with 5,000 Marines and thousands of sailors also heading to the region. CENTCOM has struck more than 9,000 Iranian targets and flown over 9,000 combat flights since February 28. Netanyahu confirmed Israel will continue striking Iran and Lebanon. Trump said Iran gave the US 'a very big present worth a tremendous amount of money' tied to Hormuz — likely referencing the Thai tanker transit and Iran's selective-passage arrangement. Iran told Indian media they are 'absolutely' charging fees for Hormuz passage — monetizing the blockade.

Pakistan's intelligence chief is engaged directly with US envoys Witkoff and Kushner. Turkey's FM Fidan is on calls with Araghchi, Egypt, and US counterparts. A Pakistan-hosted meeting — potentially attended by Vice President Vance — is being discussed. China's Wang Yi told Araghchi to 'seize every window for peace.' Iran's Foreign Ministry called US diplomacy untrustworthy and denied direct negotiations. The diplomatic track and the military track are running simultaneously in opposite directions: more troops deploying while more mediators convene. The five-day pause expires Saturday, March 29.

ON OUR RADAR

1. **Wednesday opens with hope again—the pattern is now predictable.** S&P futures +0.8%, Brent below $100 on the 15-point

plan. Tuesday followed the same script: Monday's relief-rally gains faded mid-session as oil climbed back and Iran denied negotiations. The compression window between hope and reversal is shortening. If the session holds above 6,556 into the close, the market has found a floor. If pre-market gains fade by 11 AM, the pattern is re-establishing itself. Watch the first hour.

2. COIN –9.76%—CLARITY Act targets the stablecoin revenue model. The proposed legislation bans passive yield on stablecoin balances, threatening the USDC revenue-sharing arrangement between Circle and Coinbase that accounts for roughly 20% of Coinbase's total revenue. HOOD –4.70%, MARA –7.41%, IBIT –1.92%. The digital asset sleeve absorbed a double-hit: regulatory headwinds severing the yield model, crypto-war correlation fading. Today's House Financial Services tokenization hearing (10 AM) is the venue to watch for signals before April markup. Armstrong's silence on the draft text is notable—he stopped the Senate markup with a single post in January. The structural crypto story is intact; the yield-extraction model may need to rebuild around activity-based rewards.

3. Broadcom's TSM capacity warning is the bullish semi signal this week. LRCX +2.37%, KEYS +3.33%, ADI +3.09%—the semi sleeve posted its best session in weeks while software collapsed. Capacity constraints at TSMC historically precede capital equipment orders. The divergence between IGV (–23% YTD) and the LRCX recovery is not noise — it reflects which layer of the AI stack the market is beginning to respect. Simplicity Over Complexity—own the picks and shovels, not the miners getting disrupted.

4. The 10-year at 4.42% after a weak auction is the structural risk building quietly. Iran's financial warfare threat from last week may be contributing to reduced foreign demand at the margin. If 10-year yields push to 4.5%+ while the Fed holds and oil remains elevated, rate-sensitive names (NEE, BKH, ATO) face renewed headwinds. Monitor whether TLT can catch a bid on peace plan news or continues its losing streak. A sustained move above 4.5% would pressure the equity risk premium across the entire portfolio.

5. IRGC demands are functional rejection of the 15-point plan. Closing US military bases in the Gulf and collecting Hormuz tolls are non-starters for Washington. If Iran's formal response is a counter built around IRGC demands rather than a good-faith negotiating entry, the five-day pause expires Saturday without a framework—and power plant strike threat returns. Saturday, March 29 is the next binary event. CVX, OKE, GD, and LMT remain the portfolio's insurance. Avoid Erosion—not just from bad investments, but from the cost of being underpositioned at the next escalation.

6. Manufacturing PMI 52.4 holds the line—watch US services flash data today. The manufacturing reading surprised above consensus, suggesting the war's economic damage has not reached the factory floor. But PMI subcomponents show demand destruction in travel, transport, and consumer-facing services. The gap between hard data (manufacturing holding) and soft data (services weakening) is the next fault line. If US flash services PMI shows contraction below 50, stagflation pricing intensifies and the Fed's constrained posture dominates the remainder of Q1. Research Reveals Opportunities—manufacturing resilience may signal an earlier stabilization point than the equity selloff implies.

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